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**RITESH ARORA &
ASSOCIATES**

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EXCERPTS



Whether revisional proceedings under Section 108 of the CGST Act can be initiated to revise an audit report without first invoking adjudication under Sections 73 or 74?



Whether Input Tax Credit can be denied to a bona fide purchaser under Section 16(2)(c) of the CGST Act on account of supplier's failure to pay tax to the Government?



Whether Rule 39(1)(a) of the CGST Rules, mandating monthly distribution of ISD credit, is ultra vires Section 20 of CGST Act?

AUTHORED BY:

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

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Whether revisional proceedings under Section 108 of the CGST Act can be initiated to revise an audit report without first invoking adjudication under Sections 73 or 74?

No. The Hon'ble Karnataka High Court in *M/s. NL Tile Art Private Limited v. Additional Commissioner of Commercial Taxes (SMR-2), Bangalore [W.P. No. 38051 of 2025 (T-RES), decided on 18.12.2025 | 2026 (1) TMI 631 – KARNATAKA HIGH COURT]* held that revisional proceedings under Section 108 of the CGST Act cannot be initiated to revise or act upon an audit report unless the proper officer has first initiated adjudication proceedings under Sections 73 or 74 as mandated by Section 65(7) of the Act. In the present case, the petitioner was subjected to audit under Section 65 of the CGST Act, pursuant to which an audit report was issued. Without initiation of proceedings under Sections 73 or 74 on the basis of the audit findings, the Revisional Authority directly invoked Section 108 to revise the audit report and pass an adverse order against the petitioner. Challenging this action, the petitioner contended that Section 65(7) prescribes a specific statutory pathway—once an audit report is issued and any discrepancy is noticed, the proper officer is required to initiate adjudication under Sections 73 or 74, and only thereafter can any further statutory action follow.

The High Court accepted this contention and observed that Section 65(7) is couched in mandatory terms, clearly requiring the department to proceed under Sections 73 or 74 after completion of audit. The Court held that bypassing this adjudicatory mechanism and directly invoking revisional powers under Section 108 amounts to acting contrary to the scheme of the Act. Such an approach not only violates the statutory sequence but also deprives the assessee of the safeguards inherent in adjudication proceedings, including issuance of a show-cause notice, opportunity of reply and personal hearing. The Court further noted that Section 108 cannot be used to cure or substitute the absence of adjudication under Sections 73 or 74, and that revision of an audit report without following the prescribed process is illegal, arbitrary and without authority of law. Consequently, the revisional proceedings and the impugned order were quashed, and the writ petition was allowed.

Author's Comments:

The Karnataka High Court has held that revision cannot be used as a substitute for adjudication. The statutory architecture is sequential: an audit under Section 65 may culminate in a SCN, where discrepancies are noticed, Section 65(7) mandates that the proper officer must proceed under Sections 73, 74, or 74A. Only after a “decision or order” emerges from such adjudicatory proceedings does the possibility of revision under Section 108 arise.

Section 108 contemplates examination of a decision or order passed under the Act. The language indicates that revisional jurisdiction is post-decisional, not pre-emptive. Records may be “called for and examined” only after proceedings have culminated in a determinative order affecting rights and liabilities. An audit report, by itself, is not an adjudicatory determination of tax liability. It does not create enforceable liability nor does it possess the character of a quasi-judicial order. Therefore, invoking Section 108 directly against an audit report effectively bypasses the adjudicatory safeguards embedded in Sections 73, 74 and 74A.

It is also important to appreciate the conceptual distinction between a “decision” and an “order”. A “decision” refers to the reasoning process leading to a conclusion on a fact-in-issue, while an “order” is the formal expression of that determination affecting legal rights or liabilities. Section 108(6)(ii) expands the meaning of “decision” to include intimations by officers lower in rank than the Revisional Authority. However, this expanded definition cannot be stretched to treat every administrative communication or audit observation as revisable. The statutory phrase “decision or order passed under this Act” must be read contextually, and necessarily presupposes completion of proceedings.

That said, the broader interpretative question—whether the expression “decision” in Section 108 has a wider amplitude, particularly in the context of audit communications—may continue to generate litigation. The definition under Section 108(6)(ii) arguably enlarges the revisional scope, and revenue authorities may seek to test this boundary in future cases. The present ruling, however, firmly anchors revision within its statutory limits: it is a post-adjudication supervisory power, not an independent enforcement mechanism.

Whether Input Tax Credit can be denied to a bona fide purchaser under Section 16(2)(c) of the CGST Act on account of supplier's failure to pay tax to the Government?

No, The Hon'ble Tripura High Court in *M/s. Sahil Enterprises v. Union of India & Ors. [WP(C) No. 688 of 2022, decided on 06.01.2026 / 2026 (1) TMI 385 – TRIPURA HIGH COURT]* held that while Section 16(2)(c) of the CGST Act, making availment of Input Tax Credit contingent upon actual payment of tax by the supplier—is constitutionally valid, but it cannot be applied mechanically to deny ITC to a bona fide purchaser who has duly paid tax to the supplier and complied with all statutory requirements. In the present case, the petitioner had availed ITC on purchases supported by valid tax invoices and had paid the tax component to the supplier. However, ITC was denied on the ground that the supplier failed to remit the tax to the Government, thereby allegedly violating Section 16(2)(c). The petitioner challenged the denial as arbitrary and unconstitutional, contending that it is impossible for a purchaser to ensure that the supplier actually deposits tax with the exchequer. The High Court observed that a literal and rigid application of Section 16(2)(c), so as to penalise a purchasing dealer for the supplier's default despite the purchaser's due diligence, would impose an impossible and disproportionate burden, offending Article 14 of the Constitution. The Court, however, stopped short of striking down the provision and instead read down Section 16(2)(c) to harmonise it with constitutional principles. It held that ITC can be denied under this provision only where the transaction itself is non-bona fide, collusive, or fraudulent, or where the purchaser is complicit in a scheme to defraud the revenue. In the absence of such elements, denial of ITC merely because the supplier defaulted in payment of tax was held to be impermissible. Applying this interpretation, the High Court set aside the impugned order denying ITC to the petitioner and allowed the writ petition in part.

Author's Comments:

This decision reflects a constitutionally sensitive and purposive reading of Section 16(2)(c) of the CGST Act, striking a careful balance between revenue protection and taxpayer fairness. Section 16(2)(c) undoubtedly places a statutory burden on the recipient by making availment of Input Tax Credit conditional upon actual payment of tax by the supplier to the Government. In its plain form, the provision operates as a condition precedent to the availment of credit. The consistent stand of the Government has been that credit cannot be allowed unless tax has actually reached the exchequer.

However, a literal and inflexible application of this condition leads to an impossible eventuality for a bona fide purchaser. Once the recipient has paid consideration along with tax to a duly registered supplier, issued a valid tax invoice, received goods or services, and reported the transaction in returns, there exists no statutory mechanism by which the recipient can ensure or enforce actual remittance of tax by the supplier. Penalising the recipient for a subsequent default of the supplier, despite full compliance and due diligence, renders the condition manifestly arbitrary and disproportionate.

It is for this reason that the Tripura High Court has correctly chosen the doctrine of "reading down" instead of striking down Section 16(2)(c). The Court has confined the operation of the provision to cases where the transaction itself is tainted—namely, where there is fraud, collusion, sham transactions, or conscious participation of the recipient in a tax-evasion scheme. In such cases, denial of ITC is justified. Outside these exceptional situations, mechanical denial of credit merely because the supplier failed to pay tax cannot be sustained.

That said, judicial opinion across High Courts remains sharply divided. Several High Courts—including the Kerala High Court in *M. Trade Links* (2024 (6) TMI 288 – KERALA HIGH COURT), the Patna High Court in *Aastha Enterprises* (2023 (8) TMI 1038), the Madhya Pradesh High Court in *Shree Krishna Chemicals* (2025 (2) TMI 1006), the Madras High Court in *Baby Marine (Eastern) Exports* (2025 (8) TMI 791), and the Andhra Pradesh High Court in *Thirumalakonda Plywoods* (2023 (7) TMI 1226) —have upheld the constitutional validity of Section 16(2)(c) without reading it down, emphasising legislative wisdom and fiscal discipline. On the other hand, the Gauhati High Court in *National Plasto Moulding* (2024 (8) TMI 836) has followed the Delhi High Court's reasoning in *On Quest Merchandising* (2017 (10) TMI 1020), as approved by the Supreme Court in *Arise India*, and declined to apply Section 16(2)(c) against a bona fide purchaser.

What clearly emerges is that there is no blanket immunity available to taxpayers under Section 16(2)(c). Relief is conditional and fact-specific, available only where the recipient establishes bona fides and absence of fraud or collusion. This divergence of judicial views makes it inevitable that the Supreme Court will have to finally settle the law to ensure uniformity and certainty.

Whether Rule 39(1)(a) of the CGST Rules, mandating monthly distribution of ISD credit, is ultra vires Section 20 of CGST Act?

Yes, The Hon'ble Telangana High Court in *M/s. BirlaNu Ltd. v. Union of India & Ors. [W.P. No. 14564 of 2024, decided on 30.12.2025 / 2026 (1) TMI 894 – TELANGANA HIGH COURT]* held that Rule 39(1)(a) of the CGST Rules, 2017, to the extent it mandates distribution of Input Service Distributor (ISD) credit only within the same tax period, is ultra vires Section 20 of the CGST Act and therefore invalid. The Court further quashed the Final Audit Report and the consequential show-cause notice on the ground of violation of principles of natural justice and held that invocation of extended limitation under Sections 73/74 was unsustainable where all particulars had been duly disclosed in statutory returns.

In the present case, the petitioner, a registered ISD, was subjected to audit proceedings where the department alleged wrongful availment and distribution of ISD credit on the ground that such credit had not been distributed within the same month, relying on Rule 39(1)(a). The petitioner challenged the proceedings contending that Section 20 of the CGST Act, which governs ISD mechanism, prescribes only the manner of distribution of credit and does not impose any time-limit. The petitioner argued that the Rule impermissibly curtailed a substantive statutory right by introducing a rigid monthly time-bar through delegated legislation. The High Court accepted this contention and observed that Section 20 does not contemplate any temporal restriction on ISD credit distribution. By prescribing a mandatory monthly limitation, Rule 39(1)(a) effectively extinguished a vested statutory entitlement, which is impermissible in delegated legislation. Relying on settled constitutional principles that rules cannot override or supplant the parent statute, the Court struck down Rule 39(1)(a) as being beyond the scope of Section 20.

On the procedural aspect, the Court also found that despite the petitioner seeking time and opportunity to respond, the authorities finalised the audit and initiated proceedings without granting a meaningful hearing, thereby violating audi alteram partem. Additionally, since the alleged discrepancies were fully reflected in the petitioner's returns and records, the Court held that extended limitation under Sections 74 could not be invoked in the absence of suppression, fraud or wilful misstatement. Consequently, the Final Audit Report and the impugned show-cause notice were quashed in entirety. The Court also rejected the objection regarding alternate remedy, holding that a writ petition was maintainable in view of the challenge to vires and breach of natural justice.

Author's Comments:

A plain and textual reading of Section 20 reveals that the legislature has consciously confined the rule-making authority to prescribe the manner of distribution of credit by an Input Service Distributor. The provision neither expressly nor impliedly authorises prescription of a time-limit. In fiscal jurisprudence, when Parliament intends to impose a limitation period affecting substantive rights, it does so in clear terms. The conspicuous silence of Section 20 on any temporal restriction is therefore legally meaningful. The rule-making authority cannot, under the guise of regulating procedure, introduce a substantive condition that extinguishes or forfeits a vested statutory entitlement.

The distinction between regulating "manner" and imposing a "condition precedent" is crucial. Section 20 seeks to ensure seamless and equitable flow of input tax credit within a corporate structure. The ISD mechanism is a facilitative device intended to allocate common credit. By introducing an inflexible monthly distribution requirement, Rule 39(1)(a) effectively curtails that statutory entitlement and converts a procedural prescription into a disabling restriction. Delegated legislation cannot override, supplant or narrow the scope of the parent statute.

The principle is well-settled. In *Sales Tax Officer v. K. I. Abraham* (1967) 20 STC 367, the Supreme Court held that a rule-making authority cannot introduce a period of limitation when the statute itself does not prescribe one. Likewise, in *Lakshmi Rattan Engineering Works Ltd. v. CST* AIR 1968 SC 488, it was observed that procedural rules are meant to advance justice and not defeat substantive rights. The impugned rule, by imposing an absolute monthly bar, had the effect of denying legitimately accrued credit, thereby defeating the object of Section 20.

Equally significant is the Court's reiteration that the rule-making power under Section 164 of the CGST Act is enabling in nature and must operate within the confines of the statute. It is intended to implement the Act, not to amend it. Where a rule introduces a substantive restriction absent in the Act, it becomes vulnerable to challenge on grounds of excessive delegation and legislative overreach.

Whether the Appellate Authority can enhance the tax liability without issuing notice and granting an opportunity of hearing to the assessee?

No, The Hon'ble Calcutta High Court in **Lakshmi Narayan Shah v. The State of West Bengal & Ors. [WPA 6227 of 2025, decided on 14.01.2026 / 2026 (1) TMI 843 – CALCUTTA HIGH COURT]** held that the Appellate Authority cannot enhance the taxable turnover or impose additional tax liability without prior notice and opportunity of hearing, as such action violates the second proviso to Section 107(11) of the CGST Act and principles of natural justice. In the present case, while disposing of the appeal, the Appellate Authority went beyond the issues adjudicated by the original authority and enhanced the petitioner's taxable turnover, subjecting the additional amount to tax at 18%, without putting the petitioner to notice. The High Court observed that an appellate forum cannot entertain a de novo issue or record findings adverse to the assessee without following the mandatory safeguard prescribed in the second proviso to Section 107(11), which expressly requires notice and an opportunity to show cause before any enhancement. The Court further noted that the issue of enhanced turnover was not part of the original adjudication, and therefore could not be introduced for the first time at the appellate stage without compliance with due process. Accordingly, the appellate findings enhancing turnover and consequential tax demand were set aside to that limited extent, and the matter was remanded to the Appellate Authority for fresh consideration after granting the petitioner a proper hearing. On a related aspect, the Court also found merit in the petitioner's grievance that the Appellate Authority mechanically relied on a higher figure reflected in GSTR-3B, without examining subsequent corrections and reconciliations reflected in GSTR-9 and GSTR-9C. The Court held that this contention required notice and reasoned consideration, and directed the Appellate Authority to revisit this issue on remand after hearing the petitioner.

Author's Comments:

It is noteworthy that GST law, unlike many fiscal statutes, expressly empowers the Appellate Authority to issue what is effectively a "notice of demand" within Chapter XVIII itself. This authority is not novel; a similar but seldom-used provision exists in Section 128A(3) of the Customs Act. However, the placement of this power within the appellate framework reveals the legislature's intent to permit refinement of demand within the appeal, not to authorize a fresh adjudication.

Although the second proviso to Section 107(11) does not explicitly state that the show-cause notice must be issued by the Appellate Authority, the language used, "unless the appellant is given a notice"—clearly imposes a solemn duty. Enhancement cannot be mechanical or incidental; it must follow due process. The legislative understanding is further reflected in Rule 109C, introduced from 26 December 2022, which refers to issuance of "show cause notice under sub-section (11) of section 107", thereby reinforcing that such notice flows directly from the appellate provision itself.

That said, the scope of this enhancement power must be carefully understood. The Appellate Authority is not an Adjudicating Authority (Section 2(4)) and cannot assume the functions of a Proper Officer under Sections 61, 65, 67, 73, 74 or 76. The notice contemplated under Section 107(11) cannot be an altogether new proceeding; it must be a subset or refinement of the original cause of action. It may update or correct incomplete aspects of the demand within the scope of the appeal, but it cannot introduce a de novo issue or travel beyond the foundation of the original show-cause notice.

The Latin maxim *reformatio in peius*—that an appellant should not be placed in a worse position merely because he has appealed—forms part of fair procedure and is deeply rooted in principles of natural justice. The Supreme Court in *Jaswal Neco Ltd. Vs CC 2015 (322) ELT 561* has acknowledged this doctrine in fiscal jurisprudence. While Section 107(11) appears to be a deliberate legislative departure from the classical prohibition, such departure operates only within carefully circumscribed limits and subject to strict compliance with procedural safeguards.

The present case correctly underscores that enhancement without notice is impermissible. Enhancement cannot be justified on the ground that the appellate forum has discovered a "better view" of the facts. In essence, Section 107(11) permits updating of demand, not re-adjudication. The power must operate as a corrective refinement within the scope of the appeal and the original cause of action.



Whether supply of electricity routed through an intermediary to a foreign buyer qualifies as “export of goods” and a zero-rated supply under Sections 2(5) and 16 of the IGST Act?

No, the Hon'ble Andhra Pradesh High Court in *M/s. SEIL Energy India Limited (formerly M/s. SEMCORP Energy India Limited) v. The Principal Commissioner of Central Tax, Guntur & Ors. [W.P. Nos. 21938, 31057, 31060, 31066, 31067, 31068, 31086, 31087, 31089, 31095, 31107, 31111, 31114, 31116, 31119 of 2025, decided on 31.12.2025 | 2026 (1) TMI 110 – ANDHRA PRADESH HIGH COURT]* held that supply of electricity by the petitioner to an intermediary within India, which in turn supplied electricity to a foreign buyer, does not qualify as “export of goods” or a zero-rated supply under Sections 2(5) and 16 of the IGST Act.

In the present case, the petitioner generated electricity in India and supplied it to an intermediary entity, which thereafter sold the electricity to a foreign buyer. The petitioner claimed that since the electricity ultimately moved outside India, the supply should be treated as export of goods and zero-rated. The High Court, however, undertook a detailed examination of the contractual arrangements, power purchase agreements, and delivery mechanics. It found that there was no privity of contract between the petitioner and the foreign buyer, and that the petitioner's contractual obligation was fully discharged upon delivery of electricity to the intermediary within India. Title and risk in the electricity passed to the intermediary at the Indian delivery point, and the subsequent cross-border supply was an independent transaction between the intermediary and the foreign buyer. The Court further observed that the concept of “export” under GST must be tested strictly in terms of Article 286 of the Constitution read with the IGST Act, particularly Sections 2(5) and 16, and that concepts borrowed from Section 5(2) of the CST Act cannot be mechanically imported into the GST regime. Emphasising that GST adopts a destination-based taxation model, the Court held that the decisive factor is who supplies the goods to the foreign buyer and at what point the supply is completed. Since the petitioner's supply terminated within India and was merely a supply for export by another person, it could not be characterised as an export supply by the petitioner itself.

Accordingly, the Court held that the petitioner's supply to the intermediary was a domestic supply liable to GST, and that the claim of zero-rating under Section 16 of the IGST Act was misconceived. The writ petitions were therefore dismissed. However, recognising the downstream impact on refund claims, the Court permitted the petitioner to re-file its refund applications by recalculating the eligible refund under Rule 89 of the CGST Rules on the basis that the underlying supply was domestic and not an export supply.

Author's Comments:

The ruling correctly re-centres the analysis on contractual privity and completion of supply, rather than on the eventual movement of goods outside India. Under GST, “export of goods” under Section 2(5) of the IGST Act requires that the supplier exports goods from India. The statutory test is supplier-specific, not outcome-oriented. A supply that merely precedes or facilitates an export by another person does not itself become an export.

The High Court's approach is consistent with foundational principles of contract law. Tax treatment follows the legal relationship created by the contract, not the commercial labels adopted by parties. A manufacturer supplying to a dealer does not become an exporter merely because the dealer subsequently exports the goods. Each contract creates a distinct supplier-recipient relationship, with independent rights and obligations. In the present case, the petitioner's obligation was fully discharged upon delivery to the intermediary in India; title and risk passed at that point. There was no privity of contract with the foreign buyer and no locus standi to enforce rights against it. The subsequent cross-border supply was an entirely separate transaction.

The Court's reasoning also aligns with the constitutional scheme under Article 286. As held by the Hon'ble Supreme Court in *State of Travancore-Cochin v. Shanmugha Vilas Cashewnut Factory* ((1953) 1 SCC 826: (1953) 4 STC 205: 1953 SCC OnLine SC 89)), a supply made “in contemplation of” export does not become a supply “in the course of export.” The nexus must be direct and integral. The GST regime, though destination-based, does not dilute this constitutional boundary. The decisive factor remains: who exports, under whose contract, and at what point is the supply completed? The petitioner's argument that its supply was so integrally connected with export that it should inherit zero-rating, attempts to collapse two legally distinct transactions into one composite chain. GST, however, taxes supplies person-wise and contract-wise. Zero-rating under Section 16 attaches only to the person who effects export. To extend zero-rating upstream merely because goods ultimately leave India would introduce cascading exemptions and blur the statutory distinction between “export” and “supply for export.”

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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



ritesh@riteshglobalca.com



www.riteshglobalca.com

**RA
&A**

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Whether the revisional authority can reverse an order of the first appellate authority merely because goods were unloaded at an unregistered additional place of business despite a valid tax invoice and e-way bill?

No, the Hon'ble Karnataka High Court in **M/s. Plaunshe v. Additional Commissioner of Commercial Tax Officer (Zone-3), Bengaluru & Ors. [W.P. No. 19487 of 2024 (T-RES), decided on 14.11.2025 | 2026 (1) TMI 143 – KARNATAKA HIGH COURT]** held that unloading of goods at an unregistered additional place of business, when such goods are duly accompanied by a valid tax invoice and e-way bill, does not per se justify invocation of revisional jurisdiction, particularly in the absence of any intent to evade tax or demonstrable prejudice to revenue. In the present case, the petitioner had transported goods under cover of a valid tax invoice and a properly generated e-way bill. The goods, however, were unloaded at a site which was not registered as an additional place of business under GST. The assessing authority initiated proceedings, but the First Appellate Authority, after examining the facts, accepted the petitioner's explanation that the unloading was necessitated due to business exigencies and that the lapse was purely technical in nature. The appellate authority recorded a clear finding that there was no allegation of clandestine movement, no mismatch in documentation, and no loss of revenue to the State.

Despite this, the Revisional Authority exercised powers to reverse the appellate order, proceeding on the premise that unloading at an unregistered place was itself sufficient to attract penal consequences. The High Court found this approach unsustainable. It observed that the appellate order was a well-reasoned one, passed after appreciation of evidence, and that the Revisional Authority had failed to demonstrate how the appellate decision was either erroneous in law or prejudicial to the interests of revenue. The Court emphasised that revisional powers are not appellate powers and cannot be invoked merely because the revisional authority holds a different or stricter view on the same set of facts. Mere technical non-compliance, without any element of fraud, suppression or intention to evade tax, does not confer jurisdiction for revision. On these findings, the revisional order was quashed, the appellate order was restored, and the writ petition was allowed.

Author's Comments:

This decision is a timely reaffirmation of the narrow and exceptional nature of revisional jurisdiction under Section 108 of the GST Act. Mere disagreement with the conclusion reached by the First Appellate Authority does not clothe the Revisional Authority with jurisdiction.

A plain reading of Section 108(1) makes it evident that revision can be triggered only if the order is shown to be:

- (a) erroneous, prejudicial to the interest of revenue and illegal; or
- (b) erroneous, prejudicial to the interest of revenue and improper; or
- (c) erroneous, prejudicial to the interest of revenue for not having taken into account material facts; or
- (d) erroneous, prejudicial to the interest of revenue in consequence of a CAG observation.

Each of these grounds operates independently and must be specifically pleaded, invoked, and established. The statute does not permit a casual or omnibus invocation of revisional powers by mechanically combining multiple grounds. Use of expressions such as "erroneous, illegal and improper insofar as it is prejudicial to the interest of revenue" reflects a clear misunderstanding of the statutory scheme and betrays non-application of mind. Such drafting effectively reduces "prejudice to revenue" to the sole determinative factor, which is impermissible in law.

Equally important is "prejudice to revenue" cannot exist in the abstract. It must arise from a legally sustainable tax demand. In the present case, the original proceedings themselves lacked the essential taxing ingredients—there was no allegation of clandestine removal, no discrepancy in invoice or e-way bill, no suppression, and no loss of revenue. In such circumstances, to invoke revision merely because goods were unloaded at an unregistered additional place of business amounts to elevating a purely technical lapse into a jurisdictional trigger, which the GST law does not contemplate.

The First Appellate Authority had rendered a reasoned finding, after appreciation of facts. Interference with such findings, without demonstrating how the order is legally erroneous or statutorily impermissible, converts revision into a second appeal in disguise—a course expressly prohibited by Section 108. Revisional jurisdiction is corrective, not substitutive; it exists to cure patent illegality, not to supplant one plausible view with another.

Whether GST assessment proceedings can be validly initiated or continued against a deceased taxpayer?

No, the Hon'ble Andhra Pradesh High Court in **Baratam Satish v. The Joint Commissioner of Central Tax, Vizianagaram & Ors. [W.P. No. 6029 of 2025, decided on 24.12.2025 | 2026 (1) TMI 50 – ANDHRA PRADESH HIGHCOURT]** held that assessment and allied proceedings under the GST law cannot be initiated or continued against a deceased person, as such proceedings are a nullity in law. In the present case, the impugned assessment order had been passed in the name of the assessee who had died prior to initiation/conclusion of the proceedings. The department sought to justify the action by invoking Section 93 of the CGST Act. The Court clarified that while Section 93 enables recovery of tax dues of a deceased person, it does not authorise assessment proceedings to be carried on against the dead person. Instead, Section 93 mandates that where the business is continued, proceedings must involve the person carrying on such business, and where the business is not continued, proceedings must be initiated against the legal representative, limited strictly to the estate of the deceased. Observing that no notice had been issued to or participation sought from the legal representative, the Court set aside the impugned assessment order and directed the department to undertake a fresh assessment only after issuing notice to and involving the legal representative, with any recovery confined to the estate and only to the extent of the estate available with such legal representative.

Author's Comments:

A dead person ceases to be a legal entity capable of being assessed, served with notice, or heard in adjudication, and any proceedings initiated in such name are void ab initio. Section 169 of the CGST Act itself presupposes service upon a living person capable of responding, and a notice addressed to a deceased assessee can never result in valid service in the eyes of law. To this extent, the Court's conclusion that the impugned assessment order was a nullity is unexceptionable and fully aligned with established principles of tax jurisprudence.

However, the direction permitting initiation of fresh proceedings against the legal representative merits reconsideration. Section 93 of the CGST Act does not deal with assessment or determination of tax liability; it operates only at the stage of recovery of dues already determined during the lifetime of the taxable person. The scheme of Sections 73, 74 and 74A permits issuance of a show cause notice only to a "person chargeable with tax". A legal representative, by mere succession, does not step into the shoes of the deceased as a taxable person under GST, particularly where the business itself is not continued. Consequently, initiation of adjudication proceedings against legal heirs stretches Section 93 beyond its plain statutory contours and risks converting a recovery provision into a charging or adjudicatory mechanism, which the legislature never intended.

The analogy drawn from Order XXII Rule 1 of the CPC reinforces this position rather than diluting it. Where the right to sue does not survive, proceedings abate upon death and cannot be resurrected by substitution. Similarly, in GST, while recovery of crystallised dues may survive against the estate of the deceased, the power to determine liability does not. Permitting fresh adjudication against legal representatives would amount to imposing a tax liability on persons who are not "chargeable to tax" under the Act. In the author's considered view, once a taxable person dies before completion of adjudication, the proceedings lapse permanently, and Section 93 can be invoked only where liability has already been lawfully determined.



Whether recovery under Section 79(1)(c) can be initiated by invoking Section 75(12) without completion of adjudication under the CGST Act?

No, The Hon'ble Andhra Pradesh High Court in *M/s. Sona Enterprises v. Assistant Commissioner of Central Tax, CGST, Visakhapatnam & Ors. [Writ Petition No. 15151 of 2023, decided on 19.01.2026 | 2026 (1) TMI 1214 – ANDHRA PRADESH HIGH COURT]* held that adjustment or recovery of tax liability by utilising available input tax credit is permissible under Section 75(12) of the CGST Act only where the liability is clearly admitted by the registered person through self-assessment and disclosure in returns. In the present case, the department proceeded to recover alleged tax dues by unilaterally adjusting the petitioner's electronic credit ledger and by directing the petitioner's banker to remit interest amounts, without issuing any show-cause notice or completing adjudication under Sections 73 or 74 of the Act. The petitioner contended that there was no admitted liability and that the allegation of wrongful availment or misuse of ITC was disputed and required adjudication. The High Court examined the scheme of Section 75(12) and observed that it is a limited recovery mechanism intended to deal with situations where tax payable as per return remains unpaid, thereby dispensing with the need for adjudication only in such admitted cases. The Court categorically held that where the department alleges excess or ineligible ITC, suppression, or misstatement, such allegations must necessarily be tested through adjudicatory proceedings under the Act, culminating in a reasoned determination of tax, interest and penalty. Any recovery prior to such determination, including adjustment of ITC or coercive action through banks, was held to be without authority of law and violative of principles of natural justice. On these findings, the impugned recovery action was set aside and the interest amount recovered from the petitioner's banker was directed to be refunded.

Author's Comments:

The decision appropriately demarcates the narrow scope of Section 75(12) and reinforces that it cannot be converted into a substitute for adjudication under Sections 73 or 74. Section 75(12) is a facilitative recovery provision designed to address admitted tax liability i.e., tax declared in returns but unpaid. It is not a jurisdictional shortcut enabling the department to unilaterally determine disputed liability or characterise alleged ineligible ITC as "self-assessed" dues. Where the allegation pertains to wrongful availment of ITC, suppression, or misstatement, the statutory scheme mandates a full adjudicatory process culminating in a reasoned determination. Until such determination is made, there is no crystallised "amount payable" capable of recovery under Section 79. Any coercive adjustment of the electronic credit ledger or direct recovery through banking channels, in the absence of adjudication, lacks statutory foundation.

The procedural safeguards surrounding recovery of interest further reinforce this position. The framework under Section 75(12), read with Rule 88B, Rule 88C and Rule 142B of the CGST Rules, creates a structured mechanism:

1. Computation of interest strictly in accordance with Rule 88B;
2. Intimation of the ascertained amount through Form GST DRC-01D under Rule 142B;
3. Opportunity to the taxpayer to pay or contest the liability; and
4. Resort to Section 79 only upon failure to discharge the ascertained amount.

Bypassing Form DRC-01D effectively collapses the statutory sequence and renders recovery premature. The principle was reaffirmed by the Hon'ble Gujarat High Court in *Bombay Art v. Union of India & Ors. (2025(10)TMI 1248)*, which held that recovery of interest under Section 79 cannot be initiated without prior issuance of intimation in Form DRC-01D. The broader constitutional principle also bears reiteration. As cautioned by the Hon'ble Supreme Court in *Sakal Papers Ltd. v. Union of India (1961 (9) TMI 68)*, zeal to protect revenue cannot justify non-compliance with the law itself.



Whether GST is leviable on regulatory fees charged by an Electricity Regulatory Commission in discharge of its statutory and quasi-judicial functions?

No, The Hon'ble Punjab and Haryana High Court in ***Punjab State Electricity Regulatory Commission v. Union of India & Ors. [CWP-17809-2024 (O&M), decided on 15.01.2026 | 2026 (1) TMI 1213 – PUNJAB AND HARYANA HIGH COURT]*** held that GST is not leviable on fees charged by an Electricity Regulatory Commission for performing its regulatory, adjudicatory and quasi-judicial functions under the Electricity Act. In the present case, the petitioner-Commission was issued a show cause notice proposing levy of GST on various fees collected for activities such as tariff determination, grant of licences, approval of power purchase agreements, adjudication of disputes between licensees and consumers, and other regulatory approvals. The Commission challenged the notice contending that these activities are statutory obligations discharged as a public authority and cannot be equated with commercial activities undertaken in the course or furtherance of business. The High Court examined the scheme of the Electricity Act, 2003 and noted that the Commission is a statutory body entrusted with regulation of a vital public utility and discharges functions which are sovereign and quasi-judicial in character. Analysing the definitions of "business" and "consideration" under the CGST Act, the Court held that the fees collected by the Commission are not consideration for any supply but are statutory levies incidental to exercise of regulatory power. The Court further observed that the nature of functions performed by the Commission is closely akin to those of courts and tribunals, whose services are expressly excluded from the scope of "supply" under Schedule III of the CGST Act. It was held that merely because a fee is charged does not ipso facto render the activity taxable, unless it satisfies the essential ingredients of supply under Section 7 of the Act. Concluding that the Commission does not carry on "business" and that there is no taxable supply involved, the High Court held the proposed levy of GST to be without authority of law and accordingly set aside the impugned show cause notice.

Author's Comments:

This ruling fortifies the consistent judicial view that statutory regulators discharging sovereign, regulatory and quasi-judicial functions do not become taxable persons merely because they collect fees in the course of performing statutory duties.

The core issue under GST is not whether money is collected, but whether the essential ingredients of "supply" under Section 7 are satisfied, namely, a transaction in the course or furtherance of "business" for "consideration." Electricity Regulatory Commissions, constituted under the Electricity Act, 2003, do not operate in a commercial domain. Their powers of tariff determination, grant of licences, approval of power purchase agreements, and adjudication of disputes are statutory mandates imposed to regulate a critical public utility in public interest. These functions cannot, by any interpretative stretch, be equated with trade, commerce, profession or vocation within the meaning of Section 2(17) of the CGST Act.

The reasoning of the Punjab & Haryana High Court aligns with the earlier Division Bench ruling of the Delhi High Court in case of the Central and Delhi Electricity Regulatory Commissions (2025 (1) TMI 887 – DELHI HIGH COURT) concerning electricity regulatory commissions, and with the Karnataka High Court's decision in Karnataka Electricity Regulatory Commission v. Joint Commissioner, Central Tax, Bengaluru-North & Ors. (2025 (12) TMI 636 – KARNATAKA HIGH COURT), where it was categorically held that regulatory fees collected by a State Electricity Regulatory Commission do not constitute "supply" under Section 7.

Schedule III of the CGST Act provides further support. Services by courts or tribunals established under law are expressly excluded from the scope of "supply." Once it is accepted that regulatory commissions perform adjudicatory functions akin to tribunals, any artificial bifurcation of their roles to tax "regulatory" components becomes doctrinally unsustainable. The statutory levy of a fee incidental to exercise of sovereign power does not convert that power into a commercial service.

The department's expansive proposition that anything other than goods is automatically a service, overlooks the statutory architecture of GST.



Whether input tax credit is admissible on installation of firefighting systems and public health equipment undertaken as part of factory expansion?

No, The Appellate Authority for Advance Ruling, Tamil Nadu in In re: **M/s. Shibaura Machine India Private Limited [A.R. Appeal No. 08/2025 AAAR, Order No. AAAR/09/2025 (AR), decided on 18.12.2025 | 2026 (1) TMI 1054 – AAAR, TAMIL NADU]** held that GST paid on the supply and installation of firefighting systems and public health equipment executed as part of a factory expansion project is not eligible for input tax credit, as the installations are permanently fastened to and assimilated into the building, thereby constituting immovable property. The appellant had entered into a composite contract for procurement, erection and commissioning of firefighting and public health safety systems mandated under statutory and safety regulations for expansion of its manufacturing facility, and sought to avail ITC on GST charged in advance invoices, asserting that such systems constituted “plant and machinery” used in the course or furtherance of business. The Appellate Authority examined the contractual scope, manner of installation and degree of permanency, and observed that the systems were embedded into the civil structure, lost their independent identity upon installation, and became integral to the immovable property. It was noted that the equipment could not be dismantled and relocated without substantial damage to the building and the systems themselves. Applying Section 17(5) of the CGST Act, the Authority held that goods and services used for construction of immovable property on own account, including works contract services, are expressly blocked from ITC, save for the limited carve-out for “plant and machinery”, which statutorily excludes land, buildings and civil structures. The Authority further clarified that the functional necessity of the installations or their mandatory nature under safety laws does not alter their character as immovable property. Consequently, the composite supply was treated as construction/works contract resulting in immovable property, and ITC on GST paid, including on advance invoices for the specific contract, was held inadmissible. The appeal was accordingly rejected and the denial of ITC was upheld.

Author's Comments:

The ruling reiterates the strict construction of the blocking provision under Section 17(5)(c) and (d) of the CGST Act, particularly in cases involving capital expansion of factories. The decisive question is not whether the installation is functionally indispensable or statutorily mandated, but whether it results in construction of an immovable property. Under Section 3(26) of the General Clauses Act, 1897, “immovable property” includes things attached to the earth or permanently fastened to anything attached to the earth. Firefighting pipelines, hydrant systems, sprinkler networks and public health infrastructure embedded within walls, ceilings and civil structures typically lose their independent identity upon installation. They become inseparable components of the building itself. Once assimilation occurs, the supply ceases to retain the character of standalone goods and partakes the character of immovable property. The exclusion carved out for “plant and machinery” under the Explanation to Section 17 is equally critical. While plant and machinery includes apparatus, equipment and machinery fixed to earth by foundation or structural support, it expressly excludes land, buildings and civil structures. The functional necessity of the installation does not automatically elevate it to “plant and machinery.” The equipment must be used for making outward supply of goods or services. Safety and health systems, though essential for lawful operation, do not themselves participate in the manufacturing process or generate outward supply; they enable compliance. The Supreme Court's analysis in *Bharti Airtel Ltd. v. Commissioner of Central Excise*, Pune 2025 (391) E.L.T. 3 (SC.) provides a structured test—nature of annexation, object of annexation, intention of parties, and functionality, etc. Merely being attached to earth is not determinative; rather, the enquiry must ascertain whether the attachment is intended for permanent beneficial enjoyment of the building or merely to stabilise movable equipment. In factory expansion projects, where installations are embedded into civil structures and intended to endure for the life of the facility, the indicia strongly point toward immovable property. It is also important to appreciate that “movability” alone is not the sole criterion. Object, intendment, permanence, and marketability must all be evaluated. If dismantling would substantially damage the structure or render the system unusable, the character of immovability becomes evident.

Whether GST is leviable on liquidated damages received for breach or non-performance of a contract and whether amounts paid under protest pursuant to such demand are refundable with interest?

No, the Hon'ble Karnataka High Court in *M/s. Krazybee Services Private Limited v. Additional Director, DGGI, BZU Karnataka & Ors. [W.P. No. 16471 of 2024 (T-RES), decided on 08.12.2025 | 2026 (1) TMI 45 – KARNATAKA HIGH COURT]* held that liquidated damages recovered for breach or non-performance of contractual obligations are compensatory in character and do not constitute consideration for a taxable "supply" under the CGST Act. In the present case, the petitioner was issued a show-cause notice proposing levy of GST on liquidated damages recovered under a service agreement, primarily relying on Circular No. 178/10/2022-GST dated 03.08.2022. The petitioner contended that the amounts were pre-estimated compensation for loss and not consideration for tolerating an act or for any independent service. Upon examining the contractual clauses, the Court observed that the liquidated damages were triggered automatically upon breach or delay and were intended to compensate the aggrieved party for loss suffered, without any element of reciprocal obligation or positive act of tolerance by the petitioner. Referring specifically to paragraphs 7, 7.1 and 7.1.6 of Circular No. 178/10/2022-GST, the Court noted that the Circular itself clarifies that payments which are purely compensatory and arise from breach of contract, without any agreement to tolerate the breach, do not amount to a taxable supply. On this reasoning, the Court held that the very foundation of the GST demand was flawed and quashed the impugned show-cause notice.

On the issue of refund, the Court took note of the fact that the petitioner had paid the disputed amount under protest during investigation/enforcement proceedings. The Court reiterated that such payments, extracted in the course of investigation and without adjudication, cannot be regarded as voluntary. Since the levy itself was found to be without authority of law, the Court held that retention of such amount by the department would offend Article 265 of the Constitution. Accordingly, the respondents were directed to refund the amount collected, along with interest at the rate of 6% per annum, from the date of collection till the date of refund, thereby granting complete relief to the petitioner.

Author's Comments:

This decision reinforces the now-settled doctrinal position that liquidated damages are compensatory in nature and do not constitute consideration for a taxable supply under GST. From a contractual perspective, liquidated damages arise solely upon breach or non-performance and operate as a pre-estimated measure of loss agreed between the parties. Sections 73 and 74 of the Indian Contract Act, 1872 statutorily characterise such payments as compensation for injury suffered due to breach, and not as consideration flowing from any consensual or reciprocal arrangement.

The Court's rejection of the "tolerating an act" argument is therefore legally sound. Schedule II of the CGST Act can be attracted only where there is a positive, conscious and contractual agreement to tolerate an act or situation for consideration. In cases of liquidated damages, there is no such agreement to tolerate breach; the breach is neither desired nor contracted for. The damages are triggered automatically as a deterrent and compensatory consequence of failure to perform, and not as a quid pro quo for any service rendered by the aggrieved party. Treating such payments as taxable would blur the fundamental distinction between compensation for loss and consideration for supply, an outcome neither envisaged by Section 7 of the CGST Act nor supported by the statutory scheme.

Significantly, Circular No. 178/10/2022-GST, which itself acknowledges that amounts which are purely compensatory and arise from breach of contract, without any element of agreeing to tolerate such breach, fall outside the scope of GST.

On the issue of refund, the ruling is equally important. Amounts paid during investigation or enforcement proceedings are often extracted under compulsion and cannot be characterised as voluntary payments. Once the levy itself is found to be without authority of law, retention of such amounts violates Article 265 of the Constitution.



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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



ritesh@riteshglobalca.com



www.riteshglobalca.com

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&A**
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Whether centage charges received for services rendered to Government departments/local authorities qualify as exempt “pure services” under Entry 3 of Notification No. 12/2017-CT (Rate)?

Yes, as regards exemption; but refund is subject to statutory limitation. The Authority for Advance Ruling, Kerala in ***In re: M/s. Steel Industrials Kerala Limited [KER/41/2025, decided on 08.12.2025 | 2026 (1) TMI 311 – AAR, KERALA]*** held that centage charges received by the applicant for rendering supervision, coordination, consultancy and administrative project management services to Government departments and local authorities qualify as “pure services” and are exempt from GST under Entry 3 of Notification No. 12/2017-Central Tax (Rate).

In the present case, the applicant being a Government-owned entity was engaged by various Government departments and local authorities to render project management and supervisory services in respect of infrastructure works. The applicant received “centage charges,” computed as a percentage of the project cost, for activities such as planning, supervision, coordination, monitoring, tender assistance and administrative management. The AAR examined the scope of services and noted that the applicant did not supply any goods, nor did it execute any works contract; its role was confined to supervision and management. The Authority further observed that the services were directly relatable to functions entrusted to Panchayats and Municipalities under Articles 243G and 243W of the Constitution read with the Eleventh and Twelfth Schedules. On these facts, the AAR concluded that the services squarely fell within the ambit of “pure services” under Entry 3 of Notification No. 12/2017-CT (Rate) and were therefore exempt from GST.

On the question of refund of GST already paid on such centage charges, the AAR held that refund is governed strictly by Section 54 of the CGST Act, which prescribes a limitation period of two years from the relevant date. The Authority clarified that it has no jurisdiction to relax or override the statutory limitation period and declined to issue any ruling extending the time limit or adjudicating factual eligibility of refund beyond what Section 54 permits.

Author’s Comments:

This ruling brings important clarity on the taxability of centage charges, a recurring area of dispute for Government undertakings and public sector entities engaged in supervisory and consultancy roles. By reaffirming that supervision and project management services, without any element of goods supply or works contract, constitute pure services, the Kerala AAR has aligned with a consistent line of rulings in the case of Structures India ANZ Project Management Services Pvt. Ltd. (Advance Ruling No. KER/140/2021 dt. 25.06.2022).

At the same time, the ruling serves as a cautionary reminder on refund limitation. Even where a levy is subsequently held to be exempt, refund claims must strictly comply with Section 54 timelines. Advance Ruling Authorities have consistently declined to dilute statutory limitation, leaving taxpayers to pursue alternative remedies before constitutional courts in appropriate cases.



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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

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&A**
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Whether assignment or transfer of leasehold rights in an industrial plot is liable to GST as a supply of service?

No, The Hon'ble Bombay High Court in **Aerocom Cushions Private Limited v. Assistant Commissioner (Anti-Evasion), CGST & CX, Nagpur-1 & Ors. [Writ Petition No. 2145 of 2025, decided on 09.01.2026 | 2026 (1) TMI 701 – BOMBAY HIGH COURT]** held that assignment or transfer of leasehold rights in an industrial plot amounts to transfer of benefits arising out of immovable property and does not constitute a taxable supply of service under the GST law. Consequently, a show-cause notice issued under Section 74(1) of the CGST Act, alleging suppression or misstatement on account of non-payment of GST on such transaction, was held to be without jurisdiction and was quashed.

In the present case, the petitioner had transferred leasehold rights in an industrial plot by way of assignment. The department issued a show-cause notice under Section 74(1) alleging that such assignment constituted a taxable supply of service liable to GST and that the petitioner had suppressed material facts with intent to evade tax. The petitioner challenged the notice on the ground that transfer of leasehold rights is inextricably linked to immovable property and does not fall within the scope of "supply" under Section 7 of the CGST Act read with Schedule II. The High Court examined the nature of leasehold rights and observed that such rights are benefits arising out of immovable property, the transfer of which partakes the character of immovable property itself. Relying squarely on the binding precedent of the Gujarat High Court, which had already held that assignment of leasehold rights by sale or transfer is not exigible to GST, the Court held that the foundational premise of taxability assumed by the department was legally untenable. The Court further noted that when the underlying transaction is not taxable at all, invocation of the extended limitation and penal machinery under Section 74(1) is wholly misconceived. On this reasoning, the impugned show-cause notice was declared invalid and quashed, and the writ petition was allowed.

Author's Comments:

This decision further crystallises the distinction between transfer of interest in immovable property and supply of service under the GST regime. The Court has reaffirmed that assignment of leasehold rights in an industrial plot, where such rights are transferable, heritable and confer possessory control, partakes the character of immovable property itself. Such transfer, though for monetary consideration, does not fall within the ambit of "supply" under Section 7 read with Schedule II of the CGST Act.

Schedule II, particularly clause 5(a), treats renting of immovable property as a supply of service. However, there is a clear conceptual difference between grant of lease (renting) and assignment of an existing leasehold interest. The former involves provision of a right to use immovable property by the lessor; the latter involves transfer of the lessee's proprietary interest in such property. The GST law taxes renting, but it does not tax transfer of benefits arising out of immovable property, which remain outside the charging framework.

The reliance on the Gujarat High Court judgment in Gujarat Chamber of Commerce and Industry v. Union of India (2025 (1) TMI 516) is significant. Even where long-term lease of industrial plots is treated as supply of service, Entry 41 of Notification No. 12/2017-CT (Rate) prescribes Nil rate for one-time upfront premium for leases of 30 years or more granted by State Industrial Development Corporations. Thus, even assuming arguendo that such grant is a supply, it stands exempt.

At the same time, the judgment must not be read as granting blanket immunity to all land-related transactions. A nuanced examination is required in each case to determine:

- Whether possession and effective control are transferred;
- Whether the right is alienable and heritable, or merely contractual and revocable;
- Whether the transaction results in substitution of the lessee in respect of the land itself; or
- Whether it is merely a regulatory permission or facilitation service.

For instance, transfer charges levied by industrial development authorities for granting permission to assign leasehold rights would amount to supply of service and attract GST at the applicable rate. Similarly, development rights, mining rights, spectrum usage rights and other limited or regulatory entitlements, though connected with land, have been consistently treated as taxable supplies due to their restricted and non-proprietary character.

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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



ritesh@riteshglobalca.com



www.riteshglobalca.com

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Whether GST adjudication can travel beyond the issues set out in the show-cause notice and whether reliance on undisclosed GST back-office data violates principles of natural justice?

No, the Hon'ble Calcutta High Court in **M/s. Vedant Road Carriers Pvt. Ltd. & Anr. v. Assistant Commissioner of West Bengal State Tax, Jorasanko & Jorabagan Charge & Ors. [WPA 12654 of 2025, decided on 14.01.2026 | 2026 (1) TMI 933 – CALCUTTA HIGH COURT]** held that adjudication under the GST law must strictly remain confined to the allegations and issues set out in the show-cause notice and cannot travel beyond its scope. In the present case, the show-cause notice proposed a demand on a specific basis; however, during adjudication and at the appellate stage, the authorities effectively shifted the foundation of the demand by treating a substantive issue relating to the charge mechanism as a mere matter of quantification. The High Court observed that such an approach is impermissible in view of Section 75(7) of the CGST Act, which mandates that tax, interest and penalty must be determined strictly in accordance with the grounds specified in the notice.

The Court further examined the manner in which the demand was sustained by relying upon GST back-office data and internal system-generated information, which had not been disclosed to the assessee. It was observed that data residing in the GST back-office is within the exclusive knowledge and control of the tax authorities, and denial of access to such material deprives the taxpayer of an effective opportunity to rebut the allegations. The High Court held that reliance on undisclosed material violates principles of natural justice and renders the adjudication unsustainable. Consequently, the appellate order was set aside and the matter was remitted for fresh adjudication, with a direction that the proceedings must remain confined to the issues in the original show-cause notice and that all back-office data relied upon must be disclosed to the assessee. The Court also clarified that objections relating to limitation would survive only if they were available at the time of issuance of the original notice.

Author's Comments:

Section 75(7) is not a mere procedural formality; it is a substantive limitation on adjudicatory power. The provision mandates that tax, interest and penalty must be determined strictly in accordance with the grounds specified in the show-cause notice. This statutory discipline was consciously introduced to remedy the mischief prevalent under earlier indirect tax regimes, where adjudicating authorities routinely travelled beyond the notice and confirmed demands on entirely new grounds. The Supreme Court in *Commissioner of Customs, Mumbai v. Toyo Engineering India Limited* (2006 AIR SCW 5167) unequivocally held that the department cannot go beyond the scope of the show-cause notice. Section 75(7) now codifies this principle within the GST framework.

In the present case, the authorities effectively altered the foundation of the demand by recharacterising a substantive issue relating to chargeability as a mere matter of quantification. Such recasting of the cause of action is impermissible. The show-cause notice defines the contours of the lis; it is the jurisdictional foundation of adjudication. Any attempt to travel beyond it amounts to assumption of authority not conferred by statute.

That said, the decision to remand the matter for fresh adjudication invites closer scrutiny. Once the original show-cause notice is found defective for travelling beyond its scope, the question arises whether remand effectively permits the revenue to cure a jurisdictional defect retrospectively. Section 75(7) is intended as a protective shield; allowing expansion of the demand through remand risks diluting its legislative purpose. If the lis was confined to a particular ground, there is no statutory basis for permitting introduction of a new cause of action under the guise of reconsideration.

An additional jurisdictional aspect also merits attention. The allegation recorded was one of suppression of turnover. Suppression, by its very nature, attracts the extended limitation and penal consequences under Section 74. Invocation of Section 73 in such circumstances presents an internal inconsistency in the show-cause notice itself. A notice alleging suppression yet issued under Section 73 suffer from foundational infirmity.



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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

**RA
&A**
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Growth. Clarity. Integrity

ABOUT THE AUTHOR

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



Mr. Ritesh Arora is a distinguished Chartered Accountant with over 12 years of focused expertise in Indirect Taxation, with a special emphasis on GST litigation, advisory, and appellate matters. A Fellow Member of the ICAI, he qualified in 2013 and has since emerged as a trusted name in the field of GST, known for his deep legal insight and strategic approach to complex tax disputes.

His core areas of practice include appellate proceedings, departmental audits, inspection and search cases, and legal strategy formulation under the GST regime. His strong command over GST jurisprudence and nuanced understanding of procedural intricacies make him a sought-after consultant for challenging matters.

Professional Credentials:

- Author of 'GST Gavel – A Litigation Guide'
- Specialist in GST litigation and advisory services
- Special Invitee Member of Indirect Taxes Committee of NIRC of ICAI 2025-26
- Vice Chairman of ICAI Amritsar Branch (2024-25)
- NICASA Chairman of ICAI Amritsar (2024-25)
- Previous Treasurer of ICAI Amritsar (2022-23, 2023-24)
- Speaker and contributor to professional development in taxation and finance

Beyond his professional accomplishments, CA Ritesh Arora is also a former National Silver Medalist and Punjab Gold Medalist in Judo at CBSE National Tournaments—an early testament to his discipline and competitive spirit. With a unique blend of subject-matter expertise, courtroom experience, and a passion for simplifying complex tax laws, CA Ritesh Arora continues to make a meaningful impact as a practitioner, author, speaker, and mentor in India's evolving GST landscape

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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

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CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



ritesh@riteshglobalca.com



www.riteshglobalca.com